3 High inflation: The Consumer Price Index rose by 10.1 per cent in the 12 months to September 2022, with rising food prices making the largest contribution. Fuel prices increased by 26.5 per cent in the year to September 2022, with average petrol and diesel prices at 166.5 and 181.6 pence per litre in the month, respectively, compared with 134.9 and 137.4 pence per litre a year earlier.

SOLUTION: Put more money in the common man's hands to help him tackle the high cost of living. A repeat of Liz Truss's mistakes should be avoided—any tax cuts that benefit the wealthy will backfire. With the energy demand set to go up further in winter, pragmatic ways are needed to control costs by sorting out the supply-demand imbalance. On the monetary side, the Bank of England has already been raising interest rates to rein in inflation.

4 Revving up the stock markets: The stock market has fallen sharply mid-October; the pound has been dropping steadily to the dollar. Bond yields—the returns a bond holder gets on investment in bonds—had gone up. Higher bond yields denote greater investment risk.

SOLUTION: Give clarity on the country's fiscal situation—what the budget of the new government will be like. This will help boost sentiments both in currency and in the bond markets. Already, the pound has gained and bond yields have fallen since Sunak's name was announced as the leader of the Conservative Party.

TEAM SUNAK

His Key Ministers



DOMINIC RAAB, 48

Deputy PM and Justice Secretary

Reprising roles he held under Johnson, Raab was dropped from the Truss cabinet and has been a Sunak loyalist



JEREMY HUNT, 55

Chancellor of the Exchequer

A key retention from the Truss cabinet, where he served for scarcely a week after the tumult of his predecessor's mini-budget



SUELLA BRAVERMAN, 42

Home Secretary

Seen as an anti-immigration hardliner, the abrasive Braverman was fired from the same post just days ago. Her inclusion is a clear gesture to the Tories right wing



JAMES CLEVERLY, 53

Foreign Secretary

A junior minister under Theresa May, Cleverly was first appointed foreign secretary under Truss. A staunch Brexiteer with a military background



BEN WALLACE, 52

Defence Secretary

A military veteran, Wallace has held the defence portfolio since July 2019 and offers continuity in the face of Britain's commitments to Ukraine



MICHAEL GOVE, 55

Levelling Up Secretary

A seasoned politician in the young PM's team, Gove's job is to improve conditions in the UK's economically backward regions. He held the same position under Johnson

HIGH ENERGY BILLS MAY FORCE BRITONS TO FOREGO HEATING IN HOMES. RESEARCH SHOWS UP TO 10,000 PEOPLE DIE A YEAR ON ACCOUNT OF UNDERHEATED HOMES. THE COST-OF-LIVING CRISIS WILL EXACERBATE THEIR WOES

notch activists to ultra-capitalists, from bad boys to charmers, PPE grads have worked in rooms of all sizes in British political mansions. The Labour peer and thinker Maurice Glasman, who studied modern history at Cambridge, says: "PPE combines the status of an elite university degree—it is the ultimate form of being good at school—with the stamp of a vocational course. It is perfect training for cabinet membership, and it gives you a view of life. It is a very profound cultural form." When Sunak graduated in 2001, he went straight to Goldman Sachs, like many ambitious students. The, after two years in California completing an MBA degree, he returned to London and Mayfair in 2006, where a new kind of boutique finance called the 'hedge fund' was flourishing. He was hired by Sir Christopher Hohn at The Children's Investment (TCI) Fund Management, a coveted role at an activist firm. "There are two kinds of people at hedge funds. Handsome smooth-talkers who chase clients